

17-3a Restraint of Trade and the Antitrust Laws

One way that policy discourages cooperation is through the common law. Normally, freedom of contract is an essential part of a market economy. Businesses and households use contracts to arrange mutually advantageous trades, and they rely on the court system to enforce contracts. Yet, for many centuries, judges in England and the United States have deemed agreements among competitors to reduce quantities and raise prices to be contrary to the public good. They have therefore refused to enforce such agreements.

The Sherman Antitrust Act of 1890 codified and reinforced this policy:

Every contract, combination in the form of trust or otherwise, or conspiracy, in restraint of trade or commerce among the several States, or with foreign nations, is declared to be illegal.... Every person who shall monopolize, or attempt to monopolize, or combine or conspire with any person or persons to monopolize any part of the trade or commerce among the several States, or with foreign nations, shall be deemed guilty of a misdemeanor, and on conviction thereof, shall be punished by fine not exceeding fifty thousand dollars, or by imprisonment not exceeding one year, or by both said punishments, in the discretion of the court.

The Sherman Act elevated agreements among oligopolists from unenforceable contracts to criminal conspiracies.

The Clayton Act of 1914 further strengthened the antitrust laws. According to this law, if a person could prove that she was damaged by an illegal arrangement to restrain trade, that person could sue and recover three times the damages she sustained. The purpose of this unusual rule of triple damages is to encourage private lawsuits against conspiring oligopolists.

Today, both the U.S. Justice Department and private parties have the authority to bring legal suits to enforce the antitrust laws. As we discussed in [Chapter 15](#), these laws are used to prevent mergers that would give a firm excessive market power. In addition, these laws are used to prevent oligopolists from acting together in ways that would make their markets less competitive.

Case Study: An Illegal Phone Call

Firms in oligopolies have a strong incentive to collude in order to reduce production, raise prices, and increase profits. The great 18th-century economist Adam Smith was well aware of this potential market failure. In *The Wealth of Nations*, he wrote, “People of the same

trade seldom meet together, but the conversation ends in a conspiracy against the public, or in some diversion to raise prices.”

To see a modern example of Smith’s observation, consider the following excerpt of a phone conversation between two airline executives in the early 1980s. The call was reported in the *New York Times* on February 24, 1983. Robert Crandall was president of American Airlines, and Howard Putnam was president of Braniff Airways, a major airline at the time.

Crandall:

I think it’s dumb as hell . . . to sit here and pound the @#\$\$ out of each other and neither one of us making a #\$\$%& dime.

Putnam:

Do you have a suggestion for me?

Crandall:

Yes, I have a suggestion for you. Raise your \$%*& fares **20** percent. I’ll raise mine the next morning.

Putnam:

Robert, we . . .

Crandall:

You’ll make more money, and I will, too.

Putnam:

We can’t talk about pricing!

Crandall:

Oh @#\$\$, Howard. We can talk about any &*#@ thing we want to talk about.

Putnam was right: The Sherman Antitrust Act prohibits competing executives from even talking about fixing prices. When Putnam gave a tape of this conversation to the Justice Department, the Justice Department filed suit against Crandall.

Two years later, Crandall and the Justice Department reached a settlement in which Crandall agreed to various restrictions on his business activities, including his contacts with officials at other airlines. The Justice Department said that the terms of settlement would “protect competition in the airline industry, by preventing American and Crandall from any further attempts to monopolize passenger airline service on any route through discussions with competitors about the prices of airline services.”

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